was friendlier to incumbent management teams. Pickens kept buying, and by the end of October held 11 percent of Gulf common. On October 31 Mesa announced that it intended to lead a proxy fight to block reincorporation.[21]

In the lead up to the special shareholders' meeting, Pickens pushed the merits of the royalty trust idea in the press and in meetings with the proxy committees of Gulf's large institutional shareholders. He argued that the royalty trust was the most efficient way of sharing Gulf's huge cash flows with its shareholders, and that it made no sense to eliminate shareholder rights and reincorporate just to prevent an activist investor from implementing the idea. Many investors were concerned that Mesa was seeking greenmail, so Pickens held a press conference in November to make it clear that Mesa intended to "participate in the enhancement of value of Gulf shares on an equal basis with all Gulf shareholders."[22] Mesa wouldn't take greenmail. Pickens also encountered difficulty selling the royalty trust idea, which was misconstrued as a means for liquidating the company. Pickens pointed out that Gulf hadn't replaced its reserves since 1971, and so was already in liquidation.[23]

By the time the shareholder meeting rolled around on December 10, Mesa held 12 percent of Gulf's common. From the pulpit, Gulf's chief executive Jimmy Lee opened the meeting by denouncing Pickens as a "shark," saying that he had a "history of hit-and-run tactics," and that the royalty trust would "cripple the company and severely penalize the majority of the stockholders."[24] He also said that Mesa would have to cut the Gulf dividend to pay for the royalty trust. When Lee had finished, Pickens was forced to speak from the floor, but turned it to his advantage by beginning, "I appreciate your giving me the chance to speak today from the same level as the Gulf employees and stockholders. Frankly that's where I feel most comfortable."[25] The line drew rousing applause from the audience. As they waited for the results of the meeting—it was expected to take several weeks to count the proxies from Gulf's 400,000 shareholders—Mesa continued buying Gulf stock, pushing its position to 21.7 million shares, or around 13 percent. When the results were finally tallied in late December, Gulf had received 52 percent of the votes, a win for Gulf, but a narrow one.

Pickens still believed that Gulf needed to restructure or sell out, and so Mesa kept pushing. First it detailed the benefits of restructuring Gulf as a royalty trust in a 57-page document delivered to each of Gulf's board members on December 29, 1983. Gulf dismissed the idea with a curt, two-page response. To maintain pressure, Mesa used the same tactic it had in its Cities Service contest, announcing in late January 1984 a partial tender offer for at least 13.5 million shares of Gulf at $65 per share. The stock price responded, jumping from $37 to $62. At noon on March 5 Pickens finally received the news he had been waiting for: Gulf announced that it had entered into a merger agreement with Socal, which provided for a cash tender offer of $80